
Volume Delta Trader Manual

1. Overview

This indicator plots the volume delta of each bar.

The volume delta of a bar is equal to the total buy volume of the bar **minus** the total sell volume of the bar.

The indicator lets you choose from 3 modes of volume base, each of which has a different definition of buy volume & sell volume. Let's study each of them below.

2. Volume Base

2.1. BidAskPrice_RealVolume

This mode should be used for instruments with real volumes (**futures & stocks**).

Buy volume & sell volume are defined as follows:

- **Buy Volume:** If the price of a tick is greater than or equal to the ask price, the real volume of the tick is categorized as buy volume and added to the total buy volume of the bar that the tick belongs to.
- **Sell Volume:** If the price of a tick is less than or equal to the bid price, the real volume of the tick is categorized as sell volume and added to the total sell volume of the bar that the tick belongs to.

In this mode, if Tick Replay is enabled, the indicator functions on both **historical & real-time data**. Please visit https://ninjatrade.com/support/helpGuides/nt8/en-us/?tick_replay.htm for instructions on how to enable Tick Replay.

If Tick Replay is disabled, the indicator functions only on **real-time data** and there are no calculations on historical data. Any actions that lead to chart reloading will erase all calculations.

2.2. UpDownTick_RealVolume

This mode should be used for instruments with real volumes (**futures & stocks**).

Buy volume & sell volume are defined as follows:

- **Buy Volume:** If a tick is up or remains up, the real volume of the tick is categorized as buy volume and added to the total buy volume of the bar that the tick belongs to.
- **Sell Volume:** If a tick is down or remains down, the real volume of the tick is categorized as sell volume and added to the total sell volume of the bar that the tick belongs to.

In this mode, the indicator functions on both **historical & real-time data**. However, please be advised that historical and real-time calculations of the same bar may not be 100% identical, due to technical limitations.

2.3. UpDownTick_UnitVolume

This mode is the one & only choice for instruments without real volumes (**forex, CFDs, indices**).

Buy volume & sell volume are defined as follows:

- **Buy Volume:** If a tick is up or remains up, a unit volume (1) is credited as buy volume for the tick and added to the total buy volume of the bar that the tick belongs to.
- **Sell Volume:** If a tick is down or remains down, a unit volume (1) is credited as sell volume for the tick and added to the total sell volume of the bar that the tick belongs to.

In this mode, the indicator functions on both **historical & real-time data**. However, please be advised that historical and real-time calculations of the same bar may not be 100% identical, due to technical limitations.

3. Application

One of the best uses of Volume Delta indicator is to confirm or filter a trading signal. It can be a great fit for any trading systems. For example, if your entry bar tells “go long” but the volume delta of the bar is weak, then you should consider refusing the signal.

This is just a very basic idea that needs further developments or enhancements. You will have to do your own research to build an effective strategy.